

Ministerial Directive

GUIDELINES

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Beem
CREDIT UNION

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1 Purpose

This document provides employees with guidance on current Ministerial Directives to ensure the Credit Union remains compliant with the Proceeds of Crime Money Laundering and Terrorist Financing Act (PCMLTFA) and associated regulations.

2 Overview

Under the PCMLTFA, Canada's Minister of Finance may:

- Issue directives that require the Credit Union to apply countermeasures to transactions coming from or going to designated foreign jurisdictions or entities; and
- Recommend the introduction of regulations to restrict the Credit Union from entering into a financial transaction coming from or going to designated foreign jurisdictions or entities.

These authorities allow the Minister of Finance to take steps to protect Canada's financial system from foreign jurisdictions and foreign entities that are considered to present a high risk for facilitating money laundering (ML) and terrorist financing (TF).

3 Authority

The details regarding Ministerial Directives are communicated to reporting entities by FINTRAC. Compliance with the directives is also monitored and assessed by FINTRAC. The Credit Union acknowledges that on the date this document was updated, there were three Ministerial Directives in force. The Credit Union also acknowledges that directives are subject to change at any time due to updates in regulatory requirements and geopolitical influences.

The CAMLO and designate subscribe to a variety of regulatory newsfeeds to receive direct notices of updates pertaining to Ministerial Directives, or other PCMLTFA compliance obligations. The Credit Union's CAMLO and designate hold the responsibility within the organization to review any notifications issued by the Minister of Finance, or FINTRAC, to ensure operational compliance. This includes, but is not limited to, new Ministerial Directives or updates to directives currently in force.

4 Ministerial Directives

A Ministerial Directive is a written directive issued by Canada's Minister of Finance that sets out specified countermeasures that the Credit Union must apply when conducting transactions to or from a designated jurisdiction or entity.

A Ministerial Directive can only be issued if:

- an international body or organization has taken measures on the grounds that the foreign jurisdiction or entity's ML or TF measures are ineffective or insufficient; or
- the Minister is of the opinion that the ineffectiveness or insufficiency of the jurisdiction or entity's ML/TF measures could cause an adverse impact or reputational risk to the integrity of Canada's financial system.

Ministerial Directives will specify the date they come into force and will remain in effect until officially revoked, suspended, or amended.

Information on the current directives in force are also available through [FINTRAC's website](#).

4.1 Directives In Force

Any transaction involving a country under a Ministerial Directive, regardless of the amount, is automatically deemed high risk with restrictions in place to ensure Credit Union compliance. The AML Compliance Department must be notified of any applicable transactions.

Each directive outlines determining factors and indicators to assist with identifying pertinent transactions, and specific compliance requirements that the Credit Union and all employees must follow.

4.1.1 Islamic Republic of Iran (Iran)

Transactions originating from or bound for Iran may include, but are not limited to, the indicators below:

- transactions with an origin or destination address in Iran, such as electronic funds transfers
- transactions involving representatives of the Government of Iran, such as an Embassy of Iran's banking activities in Canada
- transactions involving Iranian rial, such as an attempted deposit to an account
- foreign currency exchange requests involving Iranian rial
- transactions involving Iranian rial, such as the request to purchase or redeem a bank draft or other negotiable instruments
- transactions involving funds disclosed by a member as obtained from the sale of an asset in Iran
- online transactions with an origin or destination location traced to an Internet Protocol address geolocated in Iran
- casino disbursements originating from or bound for Iran

4.1.2 Russia

Transactions originating from or bound for Russia may include, but are not limited to, the indicators below:

- electronic funds transfers, remittances or other transfers that include a Russian originating or destination address - this may include transactions where the ordering person or entity, beneficiary, or third-party details are Russian
- the activities of representatives of the Government of Russia (for example, transactions on an Embassy of Russia's bank account in Canada)
- receiving Russian ruble as an attempted deposit to an account
- foreign currency exchange requests involving Russian ruble

- transactions involving Russian ruble, such as the request to purchase or redeem a bank draft or other negotiable instruments

4.1.3 Democratic People's Republic of Korea (North Korea)

Transactions originating from or bound for North Korea may include, but are not limited to, the indicators below:

- transactions with an origin or destination address in North Korea, such as electronic funds transfers
- transactions involving North Korean won, such as an attempted deposit to an account
- foreign currency exchange requests involving North Korean won
- transactions involving North Korean won, such as the request to purchase or redeem a bank draft or other negotiable instruments

4.2 Countermeasures

Each Ministerial Directive stipulates specific countermeasures the Credit Union is required to apply to eligible transactions, over and above the prescribed identification triggers and requirements under the PCMLTFA.

As defined by FINTRAC, these obligations include:

- member due diligence, including ascertaining the source of funds of a transaction, the purpose of a transaction, or the beneficial ownership or control of any entity;
- verifying the identity of a member who conducts, or is the beneficiary, of applicable transactions with enhanced verification measures required for transactions which meet FINTRAC reporting thresholds;
- monitoring financial transactions or accounts;
- record keeping and retention; and
- reporting applicable transactions to FINTRAC.

The Credit Union's compliance with the PCMLTFA also encompasses regulations that restrict financial transactions involving designated foreign jurisdictions or entities. In some cases, a transaction that may be permitted under a Ministerial Directive might still be declined by the Credit Union if it exceeds our risk tolerance and is not aligned with our risk-based approach.

Refer to the Credit Union's [High-Risk, Prohibited, and Restricted Memberships Policy](#) to identify which countries are restricted and prohibited, and whether a transaction is permitted.

4.3 Additional Considerations

As circumvention tactics may be used to disguise the true destination or origin of a transaction, Ministerial Directives may still apply to funds that do not initially appear to have a direct connection with a designated country. Therefore, an assessment of facts, context and indicators must be completed to determine whether

a transaction may be indirectly bound to, originate from, or involve a country under a Ministerial Directive. This includes a risk assessment which focuses on the following indicators:

- Transactions involving border regions, intermediary jurisdictions, or locations of concern
- Foreign beneficiary or third-party details which indicate a connection to a country under a directive
- Transactions involving the foreign currency of a country under a directive
- Statements made by a member regarding the involvement of a country under a directive with a particular transaction

If employees are unable to determine whether a transaction may be indirectly bound to or originate from a country under a directive, the situation must be escalated to the [AML Compliance Department](#) for further review and guidance before proceeding.

4.3.1 Intermediary Jurisdictions and Locations of Concern

Financial intelligence analysis indicates the following intermediary jurisdictions are often used to obscure the source and destination of funds, with the goal of bypassing Canadian reporting requirements and restrictions.

Intermediary Jurisdictions and Locations of Concern	
United Arab Emirates	Illicit financial flows from China, Hong Kong, and Iran
Türkiye	Illicit financial flows from Russia
Countries of the Commonwealth of Independent States: Armenia, Azerbaijan, the Kyrgyz Republic, Kazakhstan, Moldova, Tajikistan, Turkmenistan, and Uzbekistan	Illicit financial flows from Russia

4.3.2 Sanctions Evasion

The Credit Union holds additional legal obligations under Canada's sanctions laws and associated regulations with respect to monitoring and reporting of relevant property ownership, export and import of goods and other activity in connection with sanctioned individuals and entities. Therefore, it is important for employees to be aware of the possibility that some transactions may present indicators for the potential evasion of sanctions and regulatory restrictions, such as Ministerial Directives.

Individuals and entities sanctioned by the Government of Canada are likely to deploy established techniques and channels to circumvent sanctions and use alternative financial channels to conduct transactions. Some key indicators of potential sanctions evasion to watch for include the involvement of:

- intermediary jurisdictions

- opaque corporate structures
- non-resident banking
- proxies and enablers
- virtual currencies and other alternative financial channels

5 AML Compliance Review

After a request has been received for a transaction involving a country under a Ministerial Directive, employees must escalate to the [AML Compliance Department](#).

The AML Compliance Department will review the transaction to determine if it is within the Credit Union's risk tolerance, as well as whether a Suspicious Transaction Report (STR) is required to be reported.

5.1 Notify AML Compliance

When a request for a transaction related to a Ministerial Directive is identified, the employee must send an email to the [AML Compliance Department](#) including the following information:

- Member's name
- Member number
- Type of transaction (e.g. outgoing wire transfer)
- Transaction amount
- Confirmation of beneficial ownership, if on behalf of an entity
 - Including supporting documentation (i.e. Central Securities Register)
- Detailed purpose of transaction including summary of conversation with the member
- Source of funds

5.2 AML Compliance Approval

After receiving the notification for the requested transaction, the AML Compliance Department will review the information provided and determine whether the transaction can be completed or declined.

5.2.1 Approval to Proceed

If the AML Compliance Department approves the transaction, they will advise the employee to proceed with the transaction. Employees must place a detailed note in CRM that approval was received prior to processing the transaction.

5.2.2 Declining Transaction

If the AML Compliance Department determines that the transaction exceeds the Credit Union's risk tolerance, they will provide their decision to the employee. The employee must inform the member that the transaction cannot be processed and place a detailed note in CRM.

6 Unusual Activity Reporting

If an employee identifies indicators of money laundering, terrorist financing, or sanctions evasion while conducting a transaction that involves a country under a Ministerial Directive, an Unusual Activity Report must also be submitted to the AML Compliance Department.

Refer to the [Unusual Activity Reporting Guidelines](#) and [Unusual Activity Reporting Procedures](#)

6.1 Transactions Involving Iran

All completed, or attempted transactions bound to, or originating from, Iran must be escalated to the AML Compliance Department by submitting a [Unusual Activity Report \(UAR\)](#).

The AML Compliance Department will review and investigate whether a Suspicious Transaction Report will be required to be submitted.

7 Non-Compliance

If the Credit Union, or an employee, are identified as not complying with the requirements of a Ministerial Directive, FINTRAC will assess the severity of the non-compliance which may result in a monetary penalty, imprisonment, or both.

8 Record Keeping & Retention

The Credit Union will retain all records collected as required under the PCMLTFA, in accordance with the associated retention period. These records include, but are not limited, to:

- Electronic funds transfers (of any amount)
- Receipt of cash (of any amount)
- Redemption or issuing of negotiable instruments (of any amount)
- FINTRAC reports:
 - Suspicious Transaction Report (STR)
 - Listed Person or Entity Property Report (LPEPR)
 - Electronic Funds Transfer Report (EFTR)
 - Large Cash Transaction Report (LCTR)

9 Version History

DATE	VERSION	CHANGE
May 8, 2026	004	Material changes made throughout document
August 25, 2025	003	Version History Table added Harmonized document hyperlinks added: High-Risk, Prohibited, and Restricted Memberships Policy
June 23, 2025	002	Removed reference to legacy Salesforce where relevant
March 28, 2025	001	Initial Version Created